

Farm Loan Waivers in India



Source: TH

Why in News?

In a striking fiscal paradox, the Tamil Nadu government announced a **full waiver of cooperative crop loans up to Rs 75,000 for farmers** even as its recently released **White Paper on Fiscal Management** revealed a mounting debt burden of **Rs 13.18 lakh crore**.

- The development has reignited the debate over the trade-off between **welfare-driven interventions** such as **farm loan waivers** and the imperative of long-term fiscal discipline.

What are the Concerns Regarding Farm Loan Waivers in India?

- **Political Economy vs. Real Distress:** A **Reserve Bank of India (RBI) Internal Working Group (2019)** noted a high correlation between the **timing of loan waivers and state election cycles**, suggesting they are often utilized as political tools rather than strictly as responses to climatic or market-driven agrarian crises.
- **Exclusion Error:** Waivers inherently benefit only those who have access to formal credit (institutional borrowing).
 - Marginalized groups like tenant farmers, landless laborers, and sharecroppers (who rely heavily on informal moneylenders at exorbitant interest rates) are **entirely excluded from these benefits**.
- **The "Moral Hazard" Problem:** Routine waivers **destroy the credit culture**. They create a moral hazard where honest farmers who regularly repay their dues feel penalized, while willful defaulters are rewarded. **This leads to strategic defaults in anticipation of future waivers.**

Loan Waivers Impact on State Finances and the Economy

- **High Debt-to-GDP Ratios:** The outstanding debt of states is currently hovering around **27 - 29 % of GDP**, which is significantly above the **20%** benchmark recommended by the **Fiscal Responsibility and Budget Management (FRBM) Review Committee (2019)**.
- **Crowding Out Capital Expenditure (Capex):** State governments are bound by **FRBM limits (capping the fiscal deficit at 3% of GSDP)**.
 - To accommodate sudden waiver expenditures (which are classified as revenue expenditures), states invariably slash capital outlays.

- Waiver schemes are often accommodated by a **nearly 1/3rd cut in capital expenditure**. This deprives the agricultural sector of critical, long-term asset creation in irrigation networks, rural connectivity, and cold storage chains.
- **Revenue Deficit Trap:** Funding waivers frequently push states into revenue deficits. When states borrow to finance recurring or non-asset-creating expenses, it creates a debt trap.
 - The fiscal burden of these waivers generally consumes between **0.1% to 4.5% of a state's GSDP**, staggering **payouts to banks over 3-5 years** and **rigidly constraining future budget flexibility**.
- **Off-Budget Borrowings:** To circumvent strict FRBM ceilings, states often resort to opaque off-budget borrowings through **Special Purpose Vehicles (SPVs)** or public sector undertakings, masking the true scale of state liabilities.
- **Spike in Non-Performing Assets (NPAs):** Loan waivers often encourage anticipatory defaults, weakening the financial health of lending institutions. As a result, **agricultural NPAs have historically risen sharply in states that announced farm loan waivers**.



What are the Alternatives to Farm Loan Waivers?

- **Direct Income Support:** Schemes like **PM-KISAN (Pradhan Mantri Kisan Samman Nidhi)** or state-level initiatives like Odisha's **KALIA** and Telangana's **Rythu Bandhu** are more equitable.
 - They provide unconstrained cash transfers to farmers, including tenant farmers, without disrupting the credit ecosystem.
- **Accessible Institutional Credit:** Expand low-interest agricultural loans through schemes like **Kisan Credit Card** . This reduces farmers' dependence on high-interest informal lenders.
- **Price Realization and Market Reforms:** Strengthening the **e-NAM (National Agriculture Market) platform** , ensuring decentralized and timely procurement at **Minimum Support Prices (MSP)** , and promoting **Farmer Producer Organizations (FPOs)** can enhance farmers' bargaining power and income levels.
- **Enhancing Crop Insurance:** Expanding the coverage and streamlining the payout process of the **Pradhan Mantri Fasal Bima Yojana (PMFBY)** ensures farmers are protected against climate risks and crop failures before they fall into a debt trap.
- **Investment in Capital Infrastructure:** Redirecting funds from waivers toward **micro-irrigation (Per Drop More Crop)**, warehousing, and agro-processing industries will structurally raise agricultural productivity and resilience.

Farm Loan Waivers in India

- **Farm Loan Waivers:** A macroeconomic intervention where the government assumes the liability of agricultural loans, repaying banks and financial institutions on behalf of the farmers.
- **Objective:** Deployed as an emergency relief measure to alleviate acute agrarian distress triggered by systemic shocks such as crop failures, natural disasters, or catastrophic price crashes.
- **Historical Context & Fiscal Scale** The trajectory of farm debt relief in India has evolved from major centralized schemes to a fragmented, state-led model.
 - **Central Initiatives:** The **Agriculture and Rural Debt Relief Scheme (ARDRS), 1990**, providing relief up to Rs 10,000 per farmer (costing around Rs 10,000 crore at the time).
 - The *Agricultural Debt Waiver and Debt Relief Scheme (ADWDRS), 2008* was a massive pre-election intervention costing Rs 52,500 crore. It was highly targeted, offering maximum relief to small and marginal farmers (owning up to 5 acres).
 - **The State-Led Surge:**
 - **Decentralization of Waivers:** Over the past decade, the onus of debt forgiveness has shifted aggressively to state governments.
 - **Key States:** Andhra Pradesh, Telangana, Uttar Pradesh, Maharashtra, Karnataka, Punjab, Madhya Pradesh, Chhattisgarh, Jharkhand, and Tamil Nadu.
 - **Aggregate State Expenditure:** Since 2014, these state-led waivers have cumulatively aggregated to roughly **Rs 2.5 lakh crore**, which accounted for a massive 1.4% of India's 2016-17 GDP.
- **Key Committee Recommendations & Institutional Reports:**
 - **RBI Internal Working Group (IWG) to Review Agricultural Credit (2019):** The IWG advocated for pivoting towards direct income support schemes, enhancing capital infrastructure, and leveraging the **e-NAM** portal for better market price realization.
 - **Expert Group on Agricultural Indebtedness(2007):** It recommended expanding formal credit to vulnerable farmers through Joint Liability Groups (JLGs).

Conclusion

While farm loan waivers provide immediate, albeit inequitable, liquidity relief, they are macroeconomic band-aids on the deep structural wounds of Indian agriculture. For sustained agrarian prosperity, policy formulation must pivot from the populism of debt forgiveness to the pragmatism of income enhancement, ensuring state finances are utilized for enduring capital formation rather than short-term electoral dividends

Drishti Mains Question:

Discuss the implications of recurring farm loan waivers on credit culture, agricultural lending, and state finances in India.

Frequently Asked Questions (FAQs)

1. What is a farm loan waiver?

A farm loan waiver is a government intervention under which the state repays outstanding agricultural loans to banks and financial institutions on behalf of eligible farmers.

2. Why are farm loan waivers criticized by economists?

They create **moral hazard**, encourage strategic defaults, weaken credit discipline, and increase the fiscal burden on state governments.

3. How do farm loan waivers impact state finances?

They increase revenue expenditure, crowd out capital expenditure, widen fiscal deficits, and may lead to higher public debt and off-budget borrowings.

4. Why do farm loan waivers exclude many vulnerable farmers?

Benefits are largely restricted to farmers with formal institutional loans, excluding **tenant farmers, sharecroppers, and landless labourers** who depend on informal credit sources.

5. What alternatives are suggested to address agrarian distress?

Experts recommend **PM-KISAN**, **Kisan Credit Card**, **PMFBY**, **e-NAM reforms**, **FPOs**, and investment in irrigation and rural infrastructure instead of blanket loan waivers.

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/Q-VswL-3pKI](https://www.youtube.com/embed/Q-VswL-3pKI)]

UPSC Civil Services Examination Previous Year Question (PYQ)

Q1. Under the Kisan Credit Card scheme, short-term credit support is given to farmers for which of the following purposes? (2020)

1. Working capital for maintenance of farm assets
2. Purchase of combine harvesters, tractors and mini trucks
3. Consumption requirements of farm households
4. Post-harvest expenses
5. Construction of family house and setting up of village cold storage facility

Select the correct answer using the code given below:

- (a) 1, 2 and 5 only
- (b) 1, 3 and 4 only
- (c) 2, 3, 4 and 5 only
- (d) 1, 2, 3, 4 and 5

Ans: (b)

Mains

Q. Given the vulnerability of Indian agriculture to vagaries of nature, discuss the need for crop insurance and bring out the salient features of the Pradhan Mantri Fasal Bima Yojana (PMFBY). **(2016)**

Exercise Pitch Black 2026



Source: TH

The **Indian Air Force (IAF)** will participate in **Exercise Pitch Black 2026**, a major multinational air combat exercise hosted by Australia.

- **Exercise Overview:** Exercise Pitch Black 2026 is the **Royal Australian Air Force (RAAF)'s largest multinational air combat exercise**, scheduled in Australia's Northern Territory from **20th July to 7th August 2026**.
- **Scale of Exercise:** The exercise **involves more than 100 aircraft and personnel**, making it one of the largest multinational air combat exercises and includes **advanced air combat tactics, mission planning, and integrated high-intensity operational training**.
- **Objective:** The main objective is to enhance **operational interoperability, military cooperation, and coordination** in complex air warfare scenarios.
- **Participating Countries:** The exercise will include **over 19 nations**, such as India, Australia, USA, UK, Japan, France, Indonesia, Singapore, South Korea, Canada, and other Indo-Pacific partners.
- **Significance:** It has emerged as one of the **Indo-Pacific's** key air warfare exercises, enabling high-end combat training, strengthening military partnerships, and enhancing regional stability.
- **Other Exercises:** Exercise **AUSTRA HIND (Army)**, **AUSINDEX (Navy)**, and **MALABAR (Multilateral- India, USA, Japan, and Australia)**

Read More: [Exercise Pitch Black](#)